

Policy: Water Billing

Background

As a community water system, TMWUA relies on a volunteer Board to oversee and maintain the entire system. As the community grows, we're using more professional services and adopting consistent processes to reduce workload and costs.

Purpose

Explain the water-billing process and payment timelines; protect the system's financial health; prevent arrears that are hard for homeowners to pay and for TMWUA to collect.

Statement

In order to maintain a sound financial footing for our community water system, water users must pay their water bills in full and on time. Irregularities in payments cause additional work for the TMWUA Board, our water operator and our bookkeeper, as well as additional expenses related to billing and collection activities.

Policy

ELEMENT	RATIONALE
Billing & Payment Procedures	
• The bookkeeper issues water bills exclusively via email on or around the fourth (4th) day of each month. • Water users must submit payment using the secure online payment link provided in the emailed bills. Payments made outside the online system, including but not limited to cash, checks or other manual methods, will be subject to a fifteen-dollar (\$15) processing surcharge per payment. • Payment of the full amount billed is due on or before the last calendar day of the month in which the bill is issued. • Water users are responsible for providing current contact information to receive emailed bills and for maintaining awareness of the status of their account balance, including contacting the bookkeeper if they don't receive a bill. • Receiving a bill showing a past due amount constitutes notice that the bill is in arrears.	These procedures promote efficiency, accuracy and administrative cost control. Electronic billing and online payments reduce processing time, minimize record-keeping errors, improve payment tracking and enhance financial transparency. Manual payments require additional handling, documentation and reconciliation, which increases administrative workload and operating costs. The surcharge off sets these additional expenses and encourages use of the standardized payment system. Reliable communication depends on accurate contact information and allows on-time payment and process stability. Non-receipt of a bill for any reason including, but not limited to, spam filters or inaccurate contact information, does not excuse non-payment. Holding each water user responsible for their account increases administrative efficiency and helps control costs for our small water system.

ELEMENT	RATIONALE
Late Payments	
• TMWUA will assess a ten percent (10%) late fee with a minimum of twenty dollars (\$20) on payments not received by the last day of the month. • Unpaid balances accrue a ten percent (10%) monthly finance charge starting on the last day of the month after the billing month, and on the last day of each month thereafter until paid in full. • When requested by a water user, the Board will consider waiving the late fee once every twelve (12) months. The Board will consider payment history among other factors when determining whether to waive a late fee.	The Board has the fiduciary responsibility to assure that all water users pay in a timely manner and recognizes that late fees and finance charges can encourage this practice. Assessing late fees and finance charges as described is reasonable because residents have at least three weeks to pay each month's bill before any penalties apply. The Board recognizes that unusual situations may occur and does not want to penalize water users unnecessarily.
Termination of Water Service	
• TMWUA will terminate service to water users with outstanding bills that remain in arrears after three (3) months. • To reinstate water service, water users must pay all outstanding amounts, a fifty-dollar (\$50) reconnection fee and a three-hundred-dollar (\$300) deposit to be held until the water user has made payments on time for twelve (12) consecutive months. A missed payment within this period will restart a new twelve (12) month hold on the reconnection deposit.	TMWUA must protect the reliability of our small, shared water system. When accounts remain unpaid beyond three months, delinquencies shift costs to on-time payers. Terminating service and other actions are accepted business practices and are necessary tools to maintain service for the whole community.
Property Liens	
• TMWUA reserves the right to place liens on properties with outstanding water bills at any point deemed necessary by the Association. • TMWUA will assign all costs to obtain a property lien to the property owner.	Placing a property lien is an accepted business practice and is a necessary tool to maintain service for the whole community.

ELEMENT	RATIONALE
Properties Operated as Commercial Establishments	
- Water users who operate their property as a commercial entity (e.g., short-term rentals such as Airbnb or Vrbo) will incur a separate fee of fifty dollars (\$50) per month. - TMWUA will deposit all funds collected under this policy into the capital fund, reserving those exclusively for capital maintenance, repairs and system improvement projects.	Commercial enterprises, including short-term rental use, can increase water system demand, usage variability and infra-structure wear. This fee ensures that properties generating commercial benefit contribute proportionately to long-term system sustainability. Allocating these funds to the capital fund supports necessary upgrades and major maintenance without shifting additional financial burden to residential water users.
Transfer of Water Service on Sale of Property	
- Water users who intend to sell their property must notify TMWUA at board@tmwua.org prior to closing. - Notification must include the date of closing, contact information for the listing realtor and the seller's acknowledgment that they are responsible to pay any outstanding and pro-rated water charges as of the closing date. - Sellers and listing realtors are responsible for informing buyers that they must provide their contact information (name, telephone number and email address) to TMWUA at board@tmwua.org. - New property owners assume responsibility for all pro-rated water charges beginning on the closing date. - Failure to follow these notification requirements will result in termination of water service.	Timely communication during property transfers ensures accurate billing, prevents service disruptions and maintains proper account records. Requiring seller and buyer notifications reduces administrative delays, avoids billing disputes and ensures that water system costs are fairly assigned to the appropriate party.
Effective Date	
This policy takes effect on April 1, 2026, replacing the previous policy distributed on September 29, 2025. New provisions in this policy will apply only to bills and balances after April 1, 2026.	Making the policy prospective (effective on a future date and applying only to bills and balances going forward) promotes fairness and clarity.